not misused for speculative purposes. Two of the three major Indian banks consulted by RBI Governor Rama Rau supported the recommendation. Since the insurance companies also needed to be consulted, the Central Board decided to set up a committee comprising the Managing Directors of these Indian banks and the two principal insurance companies to prepare for its considerations, 'a detailed scheme for the creation of a consortium or syndicate'.[10] The committee which was set up in July 1954 was chaired by S.K. Handoo, Managing Director of the Imperial Bank of India, and submitted its report three months later.

The Handoo report listed some of the problems which such a consortium was likely to face. These included the inexperience of banks and their lack of expertise in assessing industrial projects and issue prospects, the damage to a bank's image should an issue underwritten by it fail in the market, the generally speculative nature of the share market, and legal restrictions on the participation of insurance companies. While allowing that the idea of establishing a consortium was a step in the right direction, the Handoo report advised caution. It proposed a consortium in the form of a voluntary association of eight to ten leading banks and insurance companies under the leadership of the Imperial Bank of India. Individual members of this consortium would be free to decide whether or not to underwrite or invest in a particular issue, and no restrictions were intended to be placed on the sale of issues underwritten or purchased by any member of the consortium. To begin with, it would deal in new issues of debentures with the question of dealing in shares to be considered after a year. It also recommended certain amendments to the Imperial Bank of India Act and the Insurance Act which it felt were necessary to get the consortium started.[11]

The consortium proposal made little progress. Although Deshmukh initially supported the idea, the nationalization of the Imperial Bank of India and proposals to nationalize life insurance made him change his mind. Deshmukh minuted in December 1955, that the general economic climate was turning more favourable for investment in the private sector and therefore, a consortium was neither 'necessary nor feasible', and banks could 'go forward if they like[d] without life insurance funds.'[12] The Finance Ministry also voiced its reservations on the consortium putting forward the view that the involvement of life insurance companies would disproportionately benefit big business within the insurance sector. Within